

**Before the
Federal Maritime Commission**

Docket No. 24-17

**SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,
v.
ORIENT OVERSEAS CONTAINER LINE LTD. AND OOCL (EUROPE)
LTD.**

**RESPONDENTS' RESPONSE TO COMPLAINANT'S
MOTION FOR SANCTIONS**

On Friday, April 24, Complainant Samsung Electronics America, Inc. (“SEA” or “Complainant”) filed a dispositive¹ Motion for Sanctions (“Motion”) seeking an order of default judgment against Respondents (“OOCL” or “Respondents”). Because there has been no predicate order to compel, nor has OOCL refused to obey any order, the Motion should be denied.

INTRODUCTION

On February 20, 2026, the Presiding Officer denied both parties’ motions to compel and ordered the parties to “continue to discuss issues raised in the motions to compel.” Order Following Second Status Conference (February 20, 2024)(Doc. 120)(“Order”) at 1. OOCL has made its best efforts to adhere to the Order by collecting over 4 million potentially responsive documents from 23 custodians and producing responsive documents, attempting to resolve discovery disputes with SEA in good faith, communicating for over three months with SEA about custodians and searches, and explaining the contents and process of its document productions. Declaration of Rebecca A. Fenneman (“Fenneman Declaration”)(attached herewith). Rather than attempting to resolve document production issues through

¹ See, Order of May 4, 2026.

communication or by filing a new motion to compel (Order at 3), SEA instead seeks to revisit the Order through a meritless sanctions motion requesting default judgement. Throughout this matter, SEA has attempted to overcome the weakness of its case by asserting that OOCL has not complied with its discovery duties. *See*, (Respondents' Response to Complainant's Motion to Compel). (Doc. 116 at 4). In previous motions SEA requested the issuance of a show cause order, an extension of the discovery schedule, a finding of undue delay pursuant to 46 U.S.C. § 41302(d), that the ALJ supervise the production schedule, and an order shifting the burden of proof to OOCL. (Doc. 105 at 9-10). The same reason for denying SEA's previous motions applies here: SEA has again put the cart before the horse as no determination has been made regarding what, if any, discovery OOCL has failed to provide. The Presiding Officer should deny SEA's Motion.

ARGUMENT

Like Federal Rule 37(b), 46 CFR 502.150(b) authorizes the presiding officer to sanction a party who "fails or refuses to obey an order requiring it to make disclosures or to respond to discovery requests." Without an order and a failure to obey, there can be no sanction, much less the extreme sanction of default.

SEA ignores this critical requirement and instead asserts that the ALJ may impose sanctions without it, citing *National Hockey League et al. v. Metropolitan Hockey Club, Inc. et al.*, 427 U.S. 639, 643 (1976). But even without the required predicate discussed below, SEA fails to examine the four factors set out by the Supreme Court, and adopted by the Commission, when considering whether a presiding officer has abused discretion in imposing sanctions:

- (1) whether the party's conduct was due to willfulness, bad faith, or fault;
- (2) whether the adversary was prejudiced by the dismissed party's conduct;
- (3) whether the dismissed party was warned that failure to cooperate could lead to dismissal; and
- (4) whether less drastic sanctions [are appropriate]"

The FMC has recently explained that, “[n]otwithstanding *National Hockey League*,” imposing the “most extreme sanction” requires determination whether the “delinquent party’s conduct has been willful or in bad faith rather than merely due to an excusable inability and will consider the public interest in expeditious resolution of litigation, the risk of prejudice to the seeking party, the public policy favoring disposition of cases on their merits, and the availability of less drastic sanctions.” FMC Docket No. 24-19, *Peloton Interactive, Inc., v. Flexport International LLC* (Order Denying Respondent’s Motion for Sanctions)(ALJ June 30, 2025)(Slip Op. at 4,5)(“insufficient evidence in the record to support a finding that Peloton acted in bad faith with callous disregard of its discovery responsibilities in order to justify the imposition of the extreme sanction of dismissal...”)(citing *National Hockey League*).²

SEA’s portrayal of OOCL’s response to the Order as being so deficient as to merit sanctions is contrary to established law. It fails to reflect that the Commission imposes default as a sanction only in extreme cases, such as those in which a party refused to participate, disappeared, refused to produce any discovery whatsoever, failed to respond to a Commission’s order to answer interrogatories, or ignored the Commission or ALJ’s threats of sanctions.³

A. SEA’s Motion Must Be Denied in the Absence of a Predicate Order to Compel.

The Commission has held that discovery sanctions cannot be applied unless a motion to compel for that specific information was filed and granted. *Port Elizabeth Terminal & Warehouse Corp. v. The Port*

² See also, *Porter v. Martinez*, 941 F.2d 732, 733 (9th Cir. 1991); 134 ALR Fed. at 268-269; *Bonds v. District of Columbia*, 93 F.3d 801 (D.C. Cir. 1996); *Kin Bridge Express-Possible Violations of Sections 8,10(a)(1),10(b)(1) and 23*, 1999 WL 287324, at *3 (FMC Order, April 8, 1999).

³ Default is a matter of last resort, to be used only when there is no way to adjudicate the matter on the merits. *MCS Industries, Inc. v. Mediterranean Shipping Company SA*, 2024 WL 95383, at *8 (FMC 2024)(Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings). See also, e.g., *Tak Consulting Engineers v. Bustani*, 28 SRR 581 583 (ALJ 1998)(“The reluctance to decide cases by default judgment is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission.”)

Authority of New York and New Jersey, FMC Docket No. 17-07, 1 FMC2d 264, 267 (I.D., denying motion for adverse inference, March 25, 2019) (sanctions are “not appropriate for documents for which a motion to compel was not filed and that were never ordered to be produced”).

Here, the ALJ ordered OOCL to produce sworn declarations and OOCL followed that directive.⁴ The Order specifically contemplated that, if one or both of the Parties remained dissatisfied, “[t]he parties may make future motions to compel.” (Order at 3). Because the Motion is predicated on its assertion that OOCL has failed to provide adequate discovery, it may not be granted unless and until SEA first makes and wins a motion to compel and OOCL fails to comply with that Order to Compel.

B. There Are Insufficient Facts to Support SEA’s Request for Default Sanctions.

The relief requested by SEA, an order of default, is extreme and unwarranted. The standards required to issue a judgement on default are: “(1) a party has failed to obey an order to provide discovery; (2) any one of the three factors described in *Webb*, 146 F.3d 964,⁵ is present, namely prejudice to the other party, prejudice to the judicial system, or a need to deter future misconduct; and (3) lesser sanctions are inadequate to deter and punish the misconduct.” *MCS Industries, Inc. v. Mediterranean Shipping Company SA*, 2024 WL 95383, at *9; *MCS*, 2024 WL 95383, at *4 (citing *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1998)).

1. OOCL Has Not Failed to Obey the Presiding Officer’s Order.

The February 20 Order required OOCL to produce sworn declarations on three topics. We address each of the Order’s requirements in detail below.

⁴ SEA does not dispute that OOCL produced three sworn declarations on March 13.

⁵ The FMC has applied the *Webb* factors to determine default under Federal Rule 37(b)(2): “(1) a party has failed to obey an order to provide discovery; (2) any one of the three factors described in *Webb*, 146 F.3d 964, is present, namely prejudice to the other party, prejudice to the judicial system, or a need to deter future misconduct; and (3) lesser sanctions are inadequate to deter and punish the misconduct.” *MCS Industries, Inc. v. Mediterranean Shipping Company SA*, 2024 WL 95383, at *9; *MCS*, 2024 WL 95383, at *4 (citing *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1998)).

a. Declarations Thoroughly Described the Document Collection Process.

SEA argues that OOCL's declarations are so deficient they merit immediate sanctions. SEA cavils that the various declarations did not, to SEA's satisfaction, "explain or describe how OOCL identified which custodians and/or data repositories were determined to be likely to have responsive information..." or "...how documents were collected." Motion at 6. But SEA cites nothing in the February 20, 2026 Order that would require OOCL to address such tertiary details. As detailed below, the declarations responded to the February 20 Order, which called only for "the process by which [OOCL] performed document searches in response to SEA's discovery requests, including the date ranges used, the custodians or systems searched, and search terms used."

Mr. Murdoch instructed OOCL employees to collect "[a]ll data between January 1, 2020 through December 31, 2023" from all custodians reasonably anticipated to have responsive information. Murdoch Declaration at 2, 4-5. Those custodians included "email servers, enterprise-wide management system ("IRIS-4") and relevant Departmental Microsoft 365 Sharepoint files." *Id.* at 1-2. Mr. Murdoch provided the names of all of the individual OOCL employees for whom emails were collected. *Id.* at 2-4.

To the best of my knowledge, there were no additional OOCL custodians or systems used by OOCL's North American Customer Service, Demurrage and Detention during the January 1, 2020-December 31, 2022 timeframe likely to have knowledge or information relating to demurrage and detention associated with shipments for which SEA appeared as consignee on an OOCL-issued bill of lading other than those listed above. *Id.*

Mr. Murdoch describes the documents collected (demurrage and detention tariff rules; bills of lading; invoices; confidential service contracts and amendments; demurrage and detention management guidelines; agreements and communications with SEA's designated customer-nominated truckers; terminal invoices; last-issued arrival notices) and provides the names of all of the individual employees from whom entire email boxes were collected. *Id.* at 2-4. He also describes collections from certain custodians to which a single search term was applied ("Samsung"). *Id.* at 4. The Motion incorrectly implies that OOCL did not conform to the Order because OOCL only described the search terms it used

for the second *collection* by OOCL. Murdoch Declaration at 4. That is simply untrue. The Carruth Declaration (discussed below) explains that the search terms were applied to all documents *collected* by OOCL (first without limitation, then limited only by the term “Samsung”). *See also*, Fenneman Declaration at 4, ¶16. OOCL’s robust collection efforts resulted in a vast collection of information, which Mr. Murdoch caused to be transmitted to vendor CoDiscover, who first ran OOCL’s search terms (JSR9, Respondents’ Exhibit) and in a second search, ran SEA’s search terms over *all the documents* collected by OOCL, and produced the results to SEA. *Id.* at 2 ¶6; Carruth Declaration.

b. Declarations Thoroughly Described OOCL’s Document Searches.

Mr. Carruth’s Declaration⁶ describes the search process CoDiscover applied to the OOCL documents including the date ranges used, the custodians or systems searched, and search terms used. Carruth Declaration at 2; Fenneman Declaration. He explained that CoDiscover ran various searches designed to eliminate non-responsive documents and leave only potentially responsive documents for individual review. Carruth Declaration at 2. Notably, Mr. Carruth performed “an additional review of all the 3.591 terabytes of documents collected using additional search terms that were provided by SEA’s counsel by letter dated March 10, 2026, and ...the bill of lading and container numbers identified by SEA in a document marked “24-17_SEA_00059845.” Carruth Declaration at 4; *see also*, JSR9 Exhibit A.

Despite these explanations, SEA further complains that OOCL did not *also* produce “correspondence in response to SEA’s Requests for Production Numbers 1,4,5, and 16.” Motion at 6. But the Order denied, for now, SEA’s Motion to Compel; nor did the Order require OOCL to produce any particular documents. Nevertheless, as described in the various declarations, OOCL produced all responsive documents it collected and searched and has made additional productions to SEA. Fenneman

⁶ A Supplemental Declaration of Mr. Kenneth Carruth was served on May 11, 2026. Fenneman Declaration (Exhibit L).

Declaration. If SEA has a reasonable basis to demonstrate that OOCL has additional documents that it did not produce, its proper course is, as the Order says, to move to compel after conferral with OOCL.

c. Declarations Identified All Other “Potentially Relevant” Custodians or Systems; SEA’s Demands for Additional Information Are Beyond the Scope of the Order.

As the Order required, OOCL produced a sworn declaration from Mr. Murdoch describing: “b) identification of all other potentially relevant custodians or systems, including all persons in, and systems used by, OOCL’s North American Customer Service, Demurrage and Detention during the January 1, 2020-December 31, 2022, timeframe.” Mr. Murdoch averred that there were “no additional custodians or systems used by OOCL’s North American Customer Service, Demurrage and Detention during the January 1, 2020- December 31, 2022 timeframe likely to have [relevant] knowledge or information...” (Murdoch Declaration at 1, 5).

SEA asserts, without basis, that the Order *also* required OOCL to explain why “numerous email inboxes not previously identified are in fact likely to have responsive information.” Motion at 6. The Order does not specifically direct OOCL to provide such information.⁷

The February 20 Order required OOCL to describe the collections and searches that it has undertaken; it did not require OOCL to perform any additional searches or to perform any other collections or to provide any additional responses to SEA’s Interrogatories. Nevertheless, in an effort to avoid additional discovery disputes and in good faith, OOCL produced additional documents after re-running searches using additional search terms of SEA’s liking, as described above. SEA’s quibble (Motion at n.4) that OOCL did not “provide an expected timeline” for production of any documents

⁷ SEA also proffers the peculiar notion that by complying with the requirements of the Order that OOCL somehow conceded that “numerous email inboxes not previously identified are in fact likely to have responsive information.” Motion at 6. But that is sheer nonsense. The list of employees proffered by OOCL specifically included all employees during the relevant period, *whether or not* they were likely to have relevant information, as the Order required. All OOCL custodians who were likely to have relevant information were collected (Murdoch Declaration at 1-2) and searched (Carruth Declaration at 2,4). SEA’s linguistical legerdemain cannot defeat reality.

from the two custodians is warrantless. OOCL explained what each of its additional productions contained. Fenneman Declaration. And, as explained by OOCL to SEA on April 13, OOCL ran the search terms SEA requested of every document collected by OOCL “using the search terms as discussed between the parties.” Fenneman Declaration. The resulting documents were produced by OOCL to SEA before the close of discovery on April 30.⁸

d. Declaration Described OOCL’s Process for Charging Fees; SEA’s Additional Demands Are Beyond the Scope of the Order.

SEA complains that OOCL has not complied with the Order because Ms. Sha’s Declaration does not “specify the process by which it charged SEA...” Motion at 8 (emphasis in original). The Order required OOCL to produce to SEA a sworn declaration describing “the process by which OOCL charged demurrage, detention and other fees during the January 1, 2020-December 31, 2022, timeframe.” And that is precisely what the Sha Declaration does, in great detail. The Order did not require OOCL to respond to SEA’s Interrogatories, as SEA now claims; and by responding as ordered with the production of Ms. Sha’s Declaration has OOCL waived its objections to any of those Interrogatories. Rather, OOCL has complied with the Order, and SEA’s demand that OOCL be sanctioned for simply negotiating with SEA on supplemental searches and productions is without merit.⁹

e. OOCL’s Declarations Were Sworn by Knowledgeable Witnesses.

The Order required Respondents to “produce to SEA a sworn declaration...from one (or more) knowledgeable witness(es)...” Order at 3. Nevertheless, SEA complains that “none of the declarants are

⁸ SEA now requests the Presiding Officer sanction OOCL for producing documents resulting from the search that SEA itself asked OOCL to do. Motion at 2.

⁹ OOCL has done its level best to avoid imposing on the time of the ALJ to resolve discovery disputes, making its best efforts to satisfy SEA continuous complaints. OOCL has completed additional searches using terms SEA indicated and has produced the results of those searches. SEA’s new complaint is that OOCL has provided too many documents, but it is hard to conclude anything other than SEA wishes to have it both ways: to negotiate additional search terms, burden OOCL with running and producing the results, complain of delay that SEA itself has caused, and then ask for sanctions when OOCL has done what SEA said it wanted OOCL to do.

officers of either Respondent...” Motion at 8. The Order does not specify that OOCL was required to provide officer declarants. As required, OOCL proved sworn attestations of individuals with personal knowledge, Mr. Murdoch, Ms. Sha, and Mr. Carruth – two OOCL employees and one CoDiscover employee retained by OOCL.

2. There is No Evidence of Prejudice or Misconduct

There is no evidence of any of the second *Webb* criteria (prejudice to the other party, prejudice to the judicial system, or a need to deter future misconduct burden on the tribunal). First, there has been no prejudice to SEA, as OOCL has produced all the documents it has demanded according to the search it demanded, and has done so within the time required by the procedural order. Second, there has been no delay to the procedural schedule caused by OOCL. Finally, there has been no prejudice to the tribunal caused by OOCL, while SEA, on the other hand, has sought intervention of the Presiding Officer when none was required. Regarding the third *Webb* factor, there is no need to “deter future misconduct” because there has been no misconduct by OOCL. Indeed, imposing a sanction here may act to discourage FMC litigants from attempting to cooperate with respect to discovery matters without the intervention of the ALJ. OOCL acted in good faith and fully complied with the Order by providing three declarations are fully responsive to the Order’s requirements: the Murdoch Declaration thoroughly describes the collection process; the Carruth Declaration describes the search and production processes; and the Sha Declaration describes OOCL’s process for charging demurrage, detention and related fees.

C. No Other Relief Should be Granted.

SEA has moved, in the alternative to a default order, for an order compelling OOCL to supplement its declarations with verifications. Motion at 10. As explained above, there is no need for such an order because declarations produced by OOCL were adequately verified. A sworn declaration under potential penalty is by its very nature fully verified.

SEA also moves for an order requiring OOCL to “complete its document production as required by the Commission’s Rules.” *Id.* But SEA has identified no specific documents or types of documents that have not been produced. Nor has it made any argument on that score or given a basis for finding that OOCL has such documents.

CONCLUSION

For the foregoing reasons, the Presiding Officer should not, indeed may not, grant a default judgment or otherwise order any of the alternative relief capriciously requested by SEA. Accordingly, the Motion should be denied.

DATED: May 11, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on this 11th day of May, 2026, a true and correct copy of the foregoing document was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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